

Quarterly Financial Statement

Stryker Orthopaedics reporting segment | Unaudited synthetic management information | Amounts in USD millions except per-procedure data.

REPORTING PERIOD	PERIOD ENDED
Q2 2026	2026-06-30
ENTITY	BASIS
Stryker Orthopaedics (synthetic segment)	Management reporting / unaudited

CONDENSED STATEMENT OF OPERATIONS

USD millions	Current quarter	Prior-year quarter
Net sales	961.6	925.1
Cost of sales	348.1	340.4
Gross profit	613.5	584.6
Research & development	68.3	63.8
Selling / administrative	339.4	332.1
Operating income	205.8	188.7
Net income	148.1	135.1

Net sales reflect procedure volume and contractual pricing. The Northeast experienced delayed robotic procedure-kit availability in April, partially offset by recovery shipments in June.

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BALANCE SHEET AND OPERATING INDICATORS

Indicator	Quarter end	Comment
Cash and equivalents	113.5	Segment allocation
Accounts receivable	273.1	DSO 51 days
Inventory	193.3	Safety stock rebuilt
Capital expenditure	40.4	Manufacturing cells
Gross margin	63.8%	Mix and discount pressure

MANAGEMENT DISCUSSION

Reconstructive implant demand remained resilient. Sales through ambulatory surgery centers grew faster than hospital channels, while distributor demand was intentionally moderated to normalize inventory.

This packet contains forward-looking assumptions and is not a vendor invoice, purchase authorization, or customer pricing offer. Totals may not add due to rounding.